सीमाशुल्क आयुक्त (आयात) का कार्यालय
OFFICE OF THE COMMISSIONER OF CUSTOMS (IMPORT),
मुंबई ज़ोन -III, जन संपर्क अनुभाग, हवाई माल संकुल
MUMBAI ZONE – III, PRO CELL, AIR CARGO COMPLEX,
सहार, अंधेरी (पूर्व), मुंबई- ४०० ००९९
SAHAR, ANDHERI (EAST), MUMBAI – 400 099
e-mail- proaccsahar@gmail.com Phone-022-22816696

F.No. S/3-MISC-PRO-516/2013 ACC(I) Part 5 **Date:19.03.2019**

दिनांक 27.02.2019 को सम्पन्न स्थायी व्यापार सुविधा कमिटी की बैठक का कार्यवृत

MINUTES OF THE PERMANENT TRADE FACILITATION COMMITTEE MEETING HELD ON 27.02.2019

स्थायी व्यापार सुविधा कमिटी की मासिक बैठक दिनांक 27.02.2019 को 11.30 बजे हुई। जिसकी अध्यक्षता श्री विनायक आज़ाद द्वारा की गयी। श्री हिमांशु गुप्ता चीफ़ कमिश्नर, मुंबई ज़ोन- III मुख अतिथि के रूप मे परस्तुत थे.

The monthly meeting of the Permanent Trade Facilitation Committee (PTFC) held on 27.02.2019 at 11.00 A.M. was presided over by Shri Vinayak Azaad, Commissioner of Customs (Import). Shri Himanshu Gupta, The Chief Commissioner of Customs, Mumbai Zone-III, was the Chief Guest at the meeting.

निम्नलिखित अधिकारियों व हितधारी संगठनों के प्रतिनिधि ने इस बैठक में भाग लिया।

Following officers and representatives from the stakeholder organizations participated in the meeting:

नाम व पद/ Name & designation	संगठन/Organization
Shri Ananth Krishnan, Commissioner of Customs (Export)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री सुखजीत कुमार/Shri Sukhjit Kumar, अपर आयुक्त (आयात)/Addl. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री पवन खेतान Shri Pawan Khetan, संयुक्त आयुक्त (आयात)/Jt. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री तपन कुमार Shri Tapan Kumar, संयुक्त आयुक्त (निर्यात)/Jt. Commissioner (Export)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री अरुण चौधरी/Shri Arun Choudhary उप. आयुक्त (आयात)Dy. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री बी. के. मोहन्ती/ Shri B. K. Mohanty सहायक आयुक्त, (जनरल)/Asst. Commissioner(General)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री बी. विनायक/ Shri B. Vinayak सहायक आयुक्त (आयात)/Asst. Commissioner(Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
Shri Mahendra M Kholwadwala सहायक आयुक्त (आयात)/Asstt. Commissioner(Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
Shri K. D. Gohil/श्री एस. डी. गोहिल सहायक आयुक्त/Asst. Commissioner (APSC)	Airport Special Cargo, हवाई अड्डा विशेष कार्गो
Shri R. P. Borker/श्री आर. पी. बोरकर सहायक आयुक्त (आयात)/Asstt. Commissioner(Export)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी

Name of attendees from stakeholder organizations	संगठन/Organization
Shri Ashok Satavase, Cdr.Lokesh (Retd.), Mohamed Nasir, Shri Nandan Kanchan	MIAL (Custodian)
Shri Kaushal H. Thakker	BCBA (formerly known as BCHAA)
Ms. Vaishali Kulkarni	COSIA

Ms. Jyotsna Patil	JET Airways
Shri Bala Ayer, Shri Vineet Agarwal, Mohsin G. Charania	ACAAI
Shri K. D. Dhule,	Air India & AIATSL
Ms. Jyotsna Patil	JET Airways
Shri Sanjay Patankar, Shri Prasad Gengusetti	Emirates Cargo
Shri Paresh Shah	WISA
Sandeep B.Kadam	Liladhar pasoo
Shri Sunil Kumar Singh	SBI
Mr.Zubin Daver	Cathay Pacific

The Commissioner of Customs (Import) and Commissioner of Customs (Export) along with the other staff members and members of Committee welcomed the Chief Commissioner of Customs, Mumbai Zone-III Shri Himanshu Gupta and with his permission the meeting was started.

2. The Chief Commissioner of Customs also welcomed the members of trade Customs Brokers, Airlines Representatives, Custodian Representatives, and other stake holder present in the meeting. He informed the members of the committee that in view of prevailing security environment they should remain alert during their operations and report any suspicious activity to the Customs immediately. Thereafter he directed that to the Commissioner to start the meeting. During the meeting following agenda points were discussed.

(i). Points discussed in the previous meeting

A. Issuance of Registration Certificate for Consolidator at ACC:

In the previous meeting, the representative of BCBA submitted that the CBs at Air Cargo are facing difficulty in obtaining themselves as a "Consolidator", CBs has to visit New Custom House to obtain the registration certificate as a consolidator. They requested that such arrangements should be made at ACC, Mumbai.

The honorable chief commissioner enquired from the Members of customs/trade that for how long this facility has been discontinued from ACC and how many consolidators have got themselves registered at custom house. To this, the trade replied that no one has got registered from custom house Since 2014. The Chief Commissioner directed to find out the jurisdictions of this cargo complex in this matter and to address the issue accordingly.

The Commissioner of Customs (I) informed the trade that the matter has already been taken up and being followed up with New Custom House. He informed that being a matter of jurisdiction it may take some time to resolve.

[Point Closed]

B. Discontinuation of DMS charges of NEWGEN SOFTWARE SERVICES TECHNOLOGIES LTD. (PN No.09/2016 dated 16.06.2016) after introduction of the E-Sanchit Programme:

In the previous meeting the representative of BCBA submitted that various Custom Brokers are requesting to discontinue DMS charges after compulsory uploading of documents under E-Sanchit. The point was raised in the PTFC meeting held on 24.04.2018. The review is pending from the Customs on the ground that many members are not submitting the proper documents under E-Sanchit. BCBA has issued the circular vide reference no. BCBA/CIR/507/2018 dated 04.07.2018 among the Customs Broker and advised them to upload the proper documents under the E-Sanchit. If the documents are found missing under the E-Sanchit, there is a facility to upload the missed out documents after filing of Bills of Entry. The association requested to discontinue the DMS Charges at ACC, Mumbai like JNCH vide PN No. 104/2018.

The ADC (Import) informed that it has been observed that all the documents are not being uploaded in E-Sanchit facility during filing of B/E's and S/B's, the Importer/Exporters are uploading bare minimum documents for filing B/E's and S/B's and many essential documents remained not captured by the System. Though Nava Sheva has issued a Public notice for discontinuation of DMS facility, at this Cargo complex the matter is under observation. The ADC requested the trade and Custom brokers to start uploading all necessary documents such as COO Certificate, Duty exemption Certificate, WPC Certificate, BIS Certificate, etc. so that the scanning of these documents by DMS may be discontinued in the due course.

(Point Closed)

C. Time Bound schedule required for creation of Import Shed for General Cargo at ACC Mumbai:

In the previous meeting the representative of BCBA submitted that with a view to handle higher volumes at ACC Mumbai it is suggested that MIAL should provide facility for handling general import and export cargo with a bigger warehouse and truck docking area to the trade on urgent basis.

The BCBA informed the chair that this cargo complex being most swift and efficient attracts large no of custom clearances and considering the growth in import 1500 tonnes to 2000 tonnes of daily clearance will be the new normal .They therefore stressed that creation of Import shed must be done quickly and keeping in mind the future requirements. The MIAL agreed to these observations and informed the house that they have already started the work in a time bound manner and the same will be completed soon.

(Action: MIAL)

D. Timely intimation of damaged cargo at the time of forwarding itself:

In the previous meeting the representative of BCBA submitted that intimation of damaged packages of import consignments are known only when the warehouse charges are paid online. The procedure of insurance survey is getting delayed by one or two day's minimum in absence of damage notice. The Custodian is requested to display the "damage notice" on the screen, so that while making online transaction with custodian, the members are aware to hold the survey of that particular damaged consignment quickly.

The BCBA informed that MIAL is already doing it and the problem persists only with the AIATSL. They requested that like MIAL, the Air India should also provide the facility of online forwarding generation and at the item

of these online forwarding the Custom broker / importers should be intimated about the status of cargo .

The AIATSL informed that after arrival of cargo it is first inspected and once any damage is noticed it is informed to the CB/Importer. They also informed that they are in the process of changing the service providers for which they have issued tenders and once service providers changes the facility of online proving and intimation about damages cargo will be intimated.

(Action: Air India)

E. Air India/AIATSL is not issuing the Cargo Arrival Notice on or before arrival of the import consignments:

In the previous meeting the representative of BCBA submitted that Air India/AIATSL is not issuing the Cargo Arrival Notice on or before arrival of the import consignments, there is a delay happening when consignment is addressed to Bank A/c Importer's name. Air India/AIATSL is adamant to accept the request from the CB/Importer when the goods physically arrived but flight is not checked (even after four days of arrival) or location in the shed is not given to the packages. Each and every Airlines are proactive, they are issuing Cargo Arrival Notice on or before arrival to meet the requirements of the importer to clear their consignment without delay.

The representative of AIATSL informed that they are giving cargo arrival notice after receipt of goods at their warehouse. It is not possible for them to issue arrival notice before arrival of goods. The representatives of CB/Importers informed the chair that if MIAL can issue cargo arrival notice before arrival of goods why AIATSL cannot do the same. They also raised various other issues related to AIATSL such as infrastructure issues in Air India shed, lack of labourer and machines etc.

The Commissioner(import) informed that things are improving at AIATSL and The Chief Commissioner suggested that it may be observed for some more time and if required he may write to Air India Chairman highlighting all the issues as well as mentioning improvement done by AIATSL, if any as it will certainly increase the pace of improvements.

ADC/Import informed that during the TRS it has been noticed that various wrong practices by airlines such as Non issuance of cargo arrival notice is also one of the reasons for increase in dwell time at ACC. The department is examining all the issues and will be issuing a set of instructions to the airlines and other stake holders for further improvement of clearance process.

(Action: AIATSL)

F. Singapore Airlines insisting for Demand Draft for payment of DO Charges:

In the instant meeting the representative of BCBA submitted that Customs, ACC, Mumbai had issued Facility Notice No. 16/2016 dated 18.11.2016, wherein it is clearly stated that airline consolidation etc. should accept cheque from custom brokers for timely clearance. However trade members are facing difficulty in obtaining Delivery Orders from the Singapore Airlines, as they are insisting for payment through demand draft only and refuse to accept Cheque for payment. Because of a Bank Holiday or unable to reach to the office of the Singapore Airlines due to distance from the issuing Bank location the member are facing difficulty in obtaining Delivery Orders from Singapore Airlines.

The representatives of Singapore airlines informed that throughout the country they are accepting only demand draft for payment of delivery charges and they do not have a system of accepting the charges through cheques or online payments. For change of any of such method they need to obtain the instructions from Singapore Head Office.

The CB/trade representatives informed the chair that all other airlines are accepting the cheques and through RTGS. The representatives of BCBA stated that due to the practice of Singapore Airlines the importers/CB are unnecessary troubled in obtaining the demand draft and it becomes worse during the weekends when banks are closed.

The representatives of BCBA stated that the airline should accept the cheques and they would stand surety to their member upto the amount of one lakh. They assured the house that they will submit letter to this effect to the airline.

The Commissioner of Customs directed the Singapore airlines to resolve the issue by next meeting.

(Action: Singapore Airlines)

G. Issue with EDPM:

In the instant meeting the representative of BCBA submitted that many a times Shipping Bills are not electronically transmitted to AD Bank. This may happen due to system errors or multiple LEOs of same shipping bills. In such cases, the bank does not release the exporter's payment on the strength of hard copy of Shipping Bills. They have informed that in similar situations in case of Bill of Entry, the bank allows outward remittance based on hard copy of Bill of Entry but does not allow inward remittance on the strength of manual Shipping Bills.

The BCBA informed that they understand that this is a purely system issue and exporters throughout the country are affected , they are also aware that this Customs house has taken various steps to resolve it but they wish that at least exporter should be informed about the authority to whom they should contact in case of such problems.

The Commissioner (Export) explained the issue to the Chief Commissioner and informed that this being a purely system issue it has been taken up with the RBI. The deputy general manager of RBI is scheduled to visit this air cargo complex to attend a workshop when this issue will be taken up with him.

(Action: Export Commissionerate)

H. Standard Operating Procedure required for processing Section 74 Shipping Bills in EDI:

In the instant meeting the representative of BCBA submitted that a SOP for processing section 74 Shipping Bills under EDI be made available, as there is no such specific procedure available.

The Commissioner (Export) informed that the matter has been taken up by the Director General of Systems and a letter has been issued to them. The copy is also provided to BCBA

(Action: Point Closed)

I. Non Compliance of GST law by Air India:

In the instant meeting the representative of BCBA submitted that Air India is not complying with GST taxation laws at the time of collection of warehouse charges in cases of part clearance as GST number is not printed/mentioned on the bank challans and payment receipts.

The representative of AIATSL informed that they will look into it and will attempt to resolve the same by the next PTFC.

(Action: AIATSL/Air India)

J. Dispense with the check list as Export document and introduction of First Print of Shipping Bill for Examination:

In the instant meeting the representative of ACAAI submitted that for examination in the Export Cargo, they have to carry **i)** Invoice, **ii)** Packing List and **iii)** Check list. The information on the check list is the same as on the invoice. If any error is found on the check list, they requested that they should be allowed to amend the same on the spot by the concerned exporter by way of putting signature of authorised representative. Export consignment should not be held back for want of amended checklist. Penalty should not be levied as checklist is produced as Exporter's document. They submitted that they are submitting the check list to Customs to facilitate Export Examination even though the same information is already given on the invoice. They suggested to dispense with the check list as Export document.

While clearing an import cargo, they have the facility of taking out first print of the Bill of Entry which is the document used by customs for conducting the examination of the imported goods. Similar facility should be made available in exports as well. First print of the Shipping Bill should be made available which can then be made available for examination. The first print of the shipping bill is more authentic than the 'Check List'.

The Commissioner (Export) informed that this is a system issue and the matter has been referred to DG system for further necessary actions.

(Action: Point Closed)

K. Procedure for surrendering MEIS similar to the procedure as introduced in Export for surrendering Drawback:

In the instant meeting the representative of ACAAI submitted that as per point b(i) of Public Notice 17/2018 dated 13 July 2018 issued by DGFT, MEIS has to be surrendered with Customs. They requested that any voluntary surrender of MEIS may be allowed to follow the same procedure as that of surrender of Drawback, as per PN 74/2018 dated 15.06.2018 issued by the Commissioner of Customs (Export), ACC, Mumbai. This will save a lot of time.

The Commissioner (Import) informed the house that the matter will be examined by the department and suitable instruction will be issued.

(Action: Custom)

NEW POINTS TAKEN UP FOR DISCUSSION

L. Indexing for Public Notice/Standing orders

It is requested that against the list of Public Notice / Standing Orders on the ACC Mumbai Website a brief description and index of the subject should be given to make it more easy to search.

The ADC (import) informed that while uploading the Public notices/ Standing orders subjects in certain cases is not been fed in the system. The errors have been corrected and all indexes have been corrected.

(Point Closed)

M. Availability of License / Authorisation ledger balance

We request that license ledger balance should be available to the concerned importer / broker easily. This is very essential since physical manual debiting has been discontinued totally. Entire debit of Authorization is online and it is very important for trade and industry to check the license balance in the ledger and hence the same should be available without any hindrance. They accordingly requested to issue necessary facility notice towards the same for ease of doing business.

The ADC (import) informed that a window is available to the officers to view the balances in the licenses however the same is not available to the trade.

The Commissioner (export) requested the trade to further elaborate the issue and specify the exact request.

The BCBA informed that there is a facility to get the print out of ledger of the licenses from the license section however , to get this printout which is given by the TA they have to get the approval of AC/DC every time . Their request is to get this facility simplified. The commissioner assured that matter will be looked into.

(Customs - Import)

N. Carrying out of Post Export Amendment

Trade and Industry is facing considerable difficulty to carry out post export amendment after LEO has been granted for export SB. These amendments are totally bona fide in nature and are required to be carried out in the SB.

The Commissioner (export) informed that it has been confirmed by the DG system that once EGM is filed no amendment can be done in system. However on the request of the exporters the department is issuing necessary shipment certificates.

The Chief Commissioner inquired that when an amendment is allowed in the Customs Act why the system is restricting the same. He further stressed that manual issue of shipment certificate will create a discrepancy in the data in system viz-a-viz manual shipment certificate. The Commissioner (Export) assured that they will look into the issue in consultation with DG system.

(Customs - Export)

O. Many Airlines are still insisting on original of exporters copy of Shipping Bill

After LEO is granted by Customs, the Exchange Control copy and EP copy have been discontinued by CBIC. Only Exporters copy of the SB is printed. This is required by the exporters for their own usage. The association requested that many airlines are still insisting on the submission of exporter's copy of S/B

They requested that Airlines should not insist for exporter's copy of SB. Also they should not retain the exporter copy as it is meant for exporter and not for airlines.

The BCBA clarified that this is not case of all airlines but only a few like FEDEX and Air India is insisting for the printout of shipping bill. The Air India representative informed that they do not retain the copy but only verifies that the LEO is done for the consignment. The commissioner (Export) informed that there is already a public notice in this regard and if any airline is violating the same they are liable for penalty. Therefore they requested all the airline for not to insist for copy of shipping bills

(Point Closed)

P. Simplification of procedure for waiver of late fee charges:

The ACAAI association has submitted that JNPT has simplified the procedure and reduced the steps for waiver of late fee for late filing of Bill of entry. They are requesting for similar action at the ACC, Mumbai as well.

The BCBA stated that it is Cargo, Mumbai who has initiated and simplified the late fee waiver procedure and same has been replicated by NAVA SHEVA. On realizing the ACAAI has withdrawn the point.

(Point Withdrawn)

बैठक का समापन अध्यक्ष महोदयों को धन्यवाद ज्ञापन के साथ हुआ।

The meeting ended with thanks to the Chairman.

यह स्थायी व्यापार सुविधा कमिटी के अध्यक्ष महोदय आयुक्त महोदय (आयात) और आयुक्त महोदय (निर्यात), अंचल-III के अनुमोदन से निर्गत किया जाता है।

This issues with the approval of the Commissioner of Customs (Import) and Commissioner of Customs (Export), Mumbai Customs Zone-III.

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s/d on 22.03.2019

(सुखजीत कुमार/Sukhjit Kumar)
अपर आयुक्त सीमाशुल्क (आयात)
Addl. Commissioner of Customs (Import)
हवाई माल संकुल, सहार, मुंबई
Air Cargo Complex, Mumbai

COPY TO:

1. Chief Commissioner of Customs, Zone-III, Mumbai - For kind information, please.
2. Pr. Commissioner / Commissioner of Customs, Import / Export / General, ACC.
3. All Addl./Jt./DC/AC Commissioner of Customs, Import / Export / General, ACC.

4. All members of PTFC meeting (via E-mail)
5. E &T Section/PSO Section for circulation in Export/General Commissionerate.
6. EDI Section- For uploading on ACC Website.
7. Office copy.